# The Chokepoint That Moved the World

*The Cascading Exposures Most Firms Haven't Mapped Yet*

*The Strait of Hormuz remains effectively closed to Western commercial shipping as of March 16, 2026. Two and a half weeks after US-Israeli strikes triggered the most severe energy supply disruption since 1973, roughly 20% of global oil, 20% of global LNG, and one-third of globally traded fertilizer have been simultaneously removed from international markets. Brent crude is trading above $100. QatarEnergy has declared* force majeure. *The IEA has authorized its largest-ever emergency stockpile release. None of this will be sufficient to calm markets or prevent the second-order impacts this Report documents*



## Executive Summary

The 2026 Hormuz crisis has done in three weeks what years of supply chain resilience debate failed to accomplish: it has made the cost of geographic commodity concentration impossible to ignore. Energy, food, and industrial inputs do not flow through multiple redundant corridors. They funnel through a 33-kilometre passage. And when that passage closes, the cascading effects span sectors, continents, and financial systems in ways that conventional supply chain risk models were not designed to capture.

— **The strait remains closed.** UNCTAD recorded a 97% collapse in daily vessel transits from 129 ships to just four. No ceasefire is in place or imminent. Iran's conditions for any settlement are non-starters for Washington. The disruption should be planned for in weeks to months, not days.

— **This is not an energy crisis alone.** The shutdown of Qatar's Ras Laffan complex removes 20% of global LNG simultaneously with the oil blockade. The fertilizer shock — an estimated 1.1 million tons stranded in the Gulf — is now threatening South Asian planting seasons and food security across sub-Saharan Africa.

— **Bypass infrastructure covers roughly one quarter of normal flows.** Saudi and UAE pipelines carry at most 5.5 mb/d of crude against ~20 mb/d normally transiting the strait. No bypass exists for refined products. Cape of Good Hope rerouting adds 10–14 days and 30% to transport costs.

— **Financial infrastructure failed before the physical blockade.** The withdrawal of P&I war-risk insurance on March 5 created an economic blockade before Iran could enforce a physical one. Supply chain resilience planning must account for insurance market fragility, not just physical route alternatives.

**— The IEA reserve release is a stop-gap, not a solution.** 400 million barrels covers approximately four days of global consumption. Markets have priced through it. Brent closed above $100 for the second consecutive day after the announcement.

## Key Findings

### 1. Over two weeks in, no exit is visible.

Operation Epic Fury, the US-Israeli strikes on Iran beginning February 28, 2026, killed Supreme Leader Khamenei and triggered the IRGC's declaration of Hormuz closure on March 2. What followed was rapid and near-total. Tanker transits collapsed from 138 per day to effectively zero within 72 hours. At least 16 commercial vessels have been struck. Naval mines were detected in the strait on March 10. On March 11, which was the single worst day of maritime attacks, at least five vessels were targeted across the Gulf, with strikes extending as far as Basra, 800 kilometers from the strait itself.

Iran has announced a selective passage regime, allowing vessels from Turkey, India, and China-linked operators through back-channel diplomacy. Shadow fleet ships account for half of all March transits. But this trickle is not market-functioning commerce. Major shipping lines including Maersk, CMA CGM, and Hapag-Lloyd, have suspended all Hormuz transits without exception.

As of March 15–16, Iran's Foreign Minister stated plainly: 'We never asked for a ceasefire, and we have never asked even for negotiation.' Iran's conditions reportedly include a US-Israeli guarantee of no future strikes — a non-starter. Israel's military has indicated at least three more weeks of targeting. No credible diplomatic off-ramp exists.

### 2. Energy prices are elevated and fragile, not recovering.

KEY PRICE LEVELS — MARCH 16, 2026

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| **$104** Brent crude/barrel (pre-war: ~$71) | **€50** European TTF gas/MWh (pre-war: ~€32) | **$640** Urea/ton (pre-war: ~$452–470) | **~$16** Asian LNG spot JKM/MMBtu |

Brent hit an intraday peak of $119.50 on March 9 before the IEA reserve release announcement provided temporary relief. It has since settled in the $103–106 range, which is 46% above pre-war levels. Macquarie has warned crude could reach $150+ under prolonged closure. The EIA's March Short-Term Energy Outlook projects Brent remaining above $95 through May.

European TTF gas surged 100% in five trading days following QatarEnergy's shutdown before partially retracing. EU gas storage stands at just 29.4% full, which is 20.5 percentage points below year-ago levels, and heading into injection season. Asian LNG spot prices spiked into the mid-$20s/MMBtu before retreating to ~$16, but forward contracts suggest sustained elevation. US diesel has risen 25–27% since late February.

The IEA's record release of 400 million barrels, including 172 million barrels from the US SPR, covers approximately four days of global consumption. Markets have priced through it. Brent closed above $100 for the second consecutive day after the announcement. Al Jazeera's assessment was direct: strategic oil release may calm markets but cannot fix Hormuz disruption.

> ⚠ **CRITICAL GAP**
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> Saudi and UAE bypass pipelines cover at most 5.5 mb/d of crude — roughly one quarter of normal Hormuz flows of ~20 mb/d. No bypass infrastructure exists for refined products: diesel, jet fuel, naphtha, and LPG move exclusively through the strait. Iraq, Kuwait, and Qatar have no alternatives at all.

## 3. Qatar's shutdown is the crisis within the crisis.

QatarEnergy ceased all LNG production at Ras Laffan and Mesaieed on March 2 after Iranian drone strikes hit both facilities. The shutdown was expanded to all downstream products — urea, methanol, polymers, aluminium — on March 3. *Force majeure* was declared on all LNG shipments on March 4, with Shell and TotalEnergies receiving formal notices.

Ras Laffan's 14 LNG trains represent approximately 77 million tons per year of capacity, constituting roughly 20% of global LNG supply. CEO Saad Sherida Al-Kaabi told the Financial Times that restart requires the conflict to end completely and would then take 'weeks to months.' Qatar's North Field East expansion has been pushed to at least 2027. Enverus estimates the shutdown removes approximately 10.2 billion cubic feet per day of LNG supply.

The downstream consequences extend far beyond gas markets. Qatar's QAFCO unit operates ammonia and urea plants with capacity of approximately 3.8 million tons per year of ammonia and 5.6 million tons of urea. The suspension of these downstream operations is feeding directly into the fertilizer crisis now threatening South Asian food security.

> *"The war-driven fertilizer shock combined with climate-stressed growing seasons, depleted grain reserves, and debt-constrained governments should be considered a threat to the world at large." — Council on Foreign Relations*

## 4. The fertilizer shock is the most consequential long-term risk.

Gulf nations export approximately 49% of global urea and 30% of global ammonia. An estimated 1.1 million tons of fertilizer — including 570,000 tons of urea — are currently stranded in the Persian Gulf. Signal Ocean estimates 3–4 million tons per month will not reach markets while the strait remains closed.

The granular urea basket price reached $639.56/ton as of March 13 — up roughly 35% from pre-war levels of $452–470. Morgan Stanley estimates Hormuz handles approximately 27% of global ammonia and 35% of global urea flows. If the blockade persists through the April–May procurement window for South Asia's kharif season, $700+ appears highly probable.

The country-level exposure is acute. Bangladesh has closed four of five fertilizer factories after Qatar's LNG suspension. Pakistan's Agritech has announced it is no longer receiving gas feedstock. India — the world's largest urea importer — holds 6.2 million tons in reserve but has been forced to reduce gas consumption by 70% across its fertilizer sector; if the blockade extends into June, severe shortages during the kharif season become likely for 1.45 billion people. China has restricted urea exports until at least August 2026, further tightening global supply.

The crisis extends beyond South Asia. Sub-Saharan Africa — where over 90% of fertilizer is imported and ~240 million people are already malnourished — faces acute exposure across Sudan, Tanzania, Somalia, Kenya, Nigeria, and Ethiopia. Brazil imports ~85% of its fertilizer with over 40% of urea typically transiting Hormuz. The World Bank estimates every 1% increase in fertilizer prices pushes global food prices up by approximately 0.45%. Wolfe Research projects the disruption could raise US food-at-home inflation by ~2 percentage points.

## 5. Petrochemical supply chains are fracturing across Asia.

Asian steam crackers source more than 60% of naphtha feedstock from the Middle East. The IEA reports 1.2 mb/d of naphtha exports and 1.5 mb/d of LPG disrupted, constituting the bulk of Gulf petrochemical feedstock flows. The first week of March saw record transaction volume on the Plastics Exchange, the highest in its 25-year history. Polyethylene prices jumped immediately; polymer-grade propylene surged to $0.45/lb, the highest since early 2025.

*Force majeures* have cascaded across the sector. In China: CSPC has shut its 1.2 million ton/year cracker at Huizhou; Zhejiang Petrochemical shut a 200,000 bpd unit; Wanhua Chemical declared *force majeure*. In Southeast Asia: Chandra Asri (Indonesia), Rayong Olefins (Thailand), Hyosung Vina (Vietnam), and Aster Chemicals (Singapore) have all declared *force majeure*. In South Korea: YNCC is at minimum capacity; Lotte Chemical, KPIC, and LG Chem have cut run rates. In Taiwan: Formosa Petrochemical declared force majeure on ethylene and propylene. In India: GAIL, Indian Oil, and MRPL have each shut or cut specific units.

US producers have emerged as primary beneficiaries, with competitive ethane-based feedstock costs insulating them from the naphtha squeeze. This is an asymmetric advantage that will shape competitive positioning for as long as the disruption persists.

## 6. Financial contagion is spreading through emerging markets.

The MSCI Emerging Market Currency Index is heading for its worst monthly decline since late 2024. The 120-day correlation between Brent crude and emerging market currencies has reached negative 0.34 — the most divergent reading in 27 years of data — reflecting how oil-importing developing economies are bearing disproportionate pain. Central banks in Indonesia, Turkey, and India have been forced to intervene in foreign exchange markets.

Goldman Sachs estimates the supply-driven oil price jump adds approximately 0.7 percentage points to inflation across emerging Asia while knocking 0.5 points off growth. The most exposed currencies include the Indian rupee, Thai baht, Philippine peso, and Korean won. Citigroup has warned a prolonged shock could 'aggressively de-anchor' inflation expectations in emerging markets, identifying Argentina, Sri Lanka, Pakistan, and Turkey as highest-risk.

The IMF has been measured in its public statements, but the direction is clear: Managing Director Georgieva warned on March 5 that prolonged conflict could affect 'energy prices, market sentiment, economic growth and inflation.' The World Bank's Ajay Banga stated the scale of fallout 'hinges on one factor: how long this escalation continues.' CSIS analyst Robert McNally was more direct: 'A prolonged closure of the Strait of Hormuz is a guaranteed global recession.'

## 7. This crisis reveals the architecture of systemic vulnerability.

The most important analytical finding from the Hormuz crisis is not the scale of the immediate disruption but what it reveals about the structure of global commodity supply chains. Roughly 20% of oil, 20% of LNG, 33% of fertilizer, and significant shares of petrochemicals, aluminum, and helium all funnel through a passage 33 kilometers wide. This is not an accident of geography — it is another example of the consequence of decades of supply chain optimization that prioritized cost efficiency over systemic resilience.

Perhaps the most underappreciated lesson is that financial infrastructure failed before physical blockade. The withdrawal of P&I war-risk insurance on March 5 — before Iran could physically enforce any closure — created an economic blockade through the insurance market. War risk premiums surged from 0.125% of hull value to 1% per transit; for VLCCs this translates to $2–3 million per voyage. P&I coverage withdrew entirely. The US government's $20 billion DFC reinsurance program with Chubb represents an attempt to break this financial bottleneck, but it demonstrates the point: supply chain resilience planning must account for financial system fragility alongside physical infrastructure risk.

A second underappreciated finding: even China, despite its strategic alignment with Iran, saw Chinese tankers effectively cease Hormuz transits in early March. Beijing directed refiners to halt fuel exports on March 5. No bilateral relationship provided reliable access during active conflict at the chokepoint. The CSIS analysis concludes that Hormuz is 'not merely a tactical lever Iran can threaten, or the United States can defend. It is a transmission belt between regional war and the global economy.'

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## Forward-Looking Implications

The following horizon assessment distinguishes between developments already locked in, those contingent on conflict duration, and those dependent on variables that remain genuinely uncertain.

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| **Near Term (0–4 weeks)** | Energy prices remain elevated with significant upside risk. The IEA reserve release provides partial, temporary relief. South Asian fertilizer shortages intensify as procurement windows for kharif planting close. Asian petrochemical production continues at reduced rates; *force majeures* accumulate. Shipping insurance costs remain prohibitive for most commercial operators. Iran's selective passage regime provides a trickle of flows to geopolitically favored buyers but does not restore market function. Ceasefire talks, if they begin, are unlikely to produce results within this window. |
| **Medium Term (1–3 months)** | If the strait remains closed through April, the fertilizer crisis translates into measurable crop shortfall across South Asia and sub-Saharan Africa, with food price inflation emerging in global markets by June. Qatar LNG restart requires full conflict cessation plus weeks-to-months of recommissioning — meaning contracted buyers must secure alternatives through the summer. European gas storage injection season begins at critically low levels, creating autumn supply risk. Petrochemical market rebalancing through US export surge and Cape rerouting partially offsets Asian shortfalls but at materially higher cost. EM central bank interventions intensify; some countries face balance-of-payments pressure. |

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| **Long Term (3+ months)** | If the strait reopens within this window, recovery is uneven. Qatar LNG returns to market. but long-term contract relationships have been restructured; buyers accelerate diversification toward US and Australian supply. Fertilizer prices normalize but agricultural planting disruption has already locked in some yield shortfall. Asian petrochemical overcapacity pressure resumes as Middle Eastern supply returns. Structural investment in bypass pipelines, alternative routes, and stockpiling accelerates — but the capital requirements are measured in years, not months. If the strait remains closed beyond three months, recession risk in major oil-importing economies becomes the base case. |

## Actionable Takeaways

Each of the following is a concrete action, not a general orientation. The underlying logic applies regardless of where in an organization these questions are being asked, or what the strategic goals of a given market participant may be.

**01. Map your Hormuz exposure beyond energy costs.**

Every supply chain that touches Middle Eastern crude, refined products, LPG, naphtha, ammonia, urea, methanol, or polymers has direct Hormuz exposure. The majority of affected firms have modelled energy cost pass-through but have not mapped tier-2 and tier-3 supplier exposure in petrochemicals, fertilizers, and packaging. Conduct that mapping now. The cascade from naphtha to polymer to packaging to consumer goods is already underway.

**02. Do not assume insurance market recovery tracks physical reopening.**

P&I war-risk coverage withdrew before Iran enforced a physical blockade. It will not automatically return when the blockade ends. War-risk premiums after the Red Sea crisis of 2024 remained elevated for months after shipping routes reopened. Build insurance cost elevation into supply chain cost models through at least Q3 2026, even under optimistic conflict resolution scenarios.

**03. Treat Qatar LNG as offline for planning purposes through mid-year.**

CEO Al-Kaabi has stated restart requires complete conflict cessation plus weeks-to-months of recommissioning. Contracted buyers should be securing alternatives now, not after a ceasefire. US Gulf Coast LNG, Australian supply, and Norwegian volumes are the available alternatives — but spot markets are tight. Offtake terms available today will be more favorable than those available after a ceasefire triggers a rush for alternatives.

**04. For firms with agricultural supply chain exposure, the April window is closing.**

South Asian procurement for kharif planting typically completes by May. Fertilizer stranded in the Gulf cannot be rerouted around the Cape of Good Hope fast enough to reach South Asian buyers before planting deadlines. Firms with exposure to South Asian agricultural output, including food processors, commodity traders, consumer goods companies with South Asian sourcing, should be modelling crop shortfall scenarios for Q3 2026.

**05. Stress-test your petrochemical supply chains against a three-month closure.**

Most Asian producers currently operating at reduced capacity or under *force majeur*e were not designed to be resilient to sustained feedstock disruption. If you source polymers, resins, or specialty chemicals from Asian producers, verify their stock positions and alternative feedstock options. US producers with ethane-based cost structures are the most resilient alternatives; model switching costs and lead times now.

**6. Separate the financial blockade from the physical blockade in your planning.**

The insurance market's withdrawal has proven more decisive than Iranian military enforcement in preventing commercial shipping. Monitor P&I coverage availability, war-risk premium trajectories, and DFC reinsurance program terms as leading indicators of when commercial shipping can realistically resume — independently of whether the political situation has formally resolved.

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## Indicators to Watch

The following are the specific signals that will determine whether the trajectory improves or worsens — and on what timeline. These are operational intelligence triggers, not background monitoring items.

**01 Ceasefire signal — Iranian conditions vs US red lines**

Iran has set non-negotiable conditions that Washington cannot accept. Watch for any movement in these positions as the primary indicator of conflict duration. Back-channel diplomatic activity involving Qatar, Oman, and Turkey is the most likely source of early signal.

**02 P&I war-risk insurance restoration**

Commercial shipping cannot resume at scale until P&I coverage returns and war-risk premiums fall below approximately 0.3% of hull value. Monitor Lloyd's market announcements and the DFC reinsurance program utilization rate as leading indicators.

**03 Qatar LNG restart timeline**

Any announcement from QatarEnergy on damage assessment, repair timelines, or recommissioning schedules. This is the single most important data point for European winter gas supply security and Asian LNG market balance.

**04 South Asian fertilizer emergency procurement**

Government emergency tender announcements from India, Bangladesh, Pakistan, and Indonesia for alternative fertilizer supply. The speed and scale of these tenders will indicate whether governments believe they can bridge the gap before planting season closes.

**05 US and Australian LNG spot market absorption capacity**

Whether the US and Australian LNG supply base can absorb diverted Qatar demand without exhausting spot liquidity. Henry Hub prices and US LNG terminal utilization rates are the key metrics.

**06 Asian petrochemical capacity restart signals**

Any announcements from CSPC, Zhejiang Petrochemical, or South Korean producers about resuming capacity suspended under *force majeure*. These will indicate whether the naphtha market is beginning to function again despite the closure.

The Hormuz crisis is not delivering a new lesson. It is delivering the same lesson supply chain professionals have been told repeatedly since 2020: about COVID-era single-source dependencies, about the Red Sea shipping disruptions of 2024, about the fertilizer shock triggered by Russia's invasion of Ukraine. However, the current disruptions are happening at a scale and across a breadth of commodities that makes the lesson impossible to defer.

The risk to manage is not that the strait remains closed indefinitely. It will reopen. The risk is that three weeks of disruption to a 33-kilometre passage has simultaneously destabilized energy, food, fertilizer, and petrochemical supply chains across three continents — and that the firms and governments most exposed are the ones that treated geographic commodity concentration as someone else's problem to solve.

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